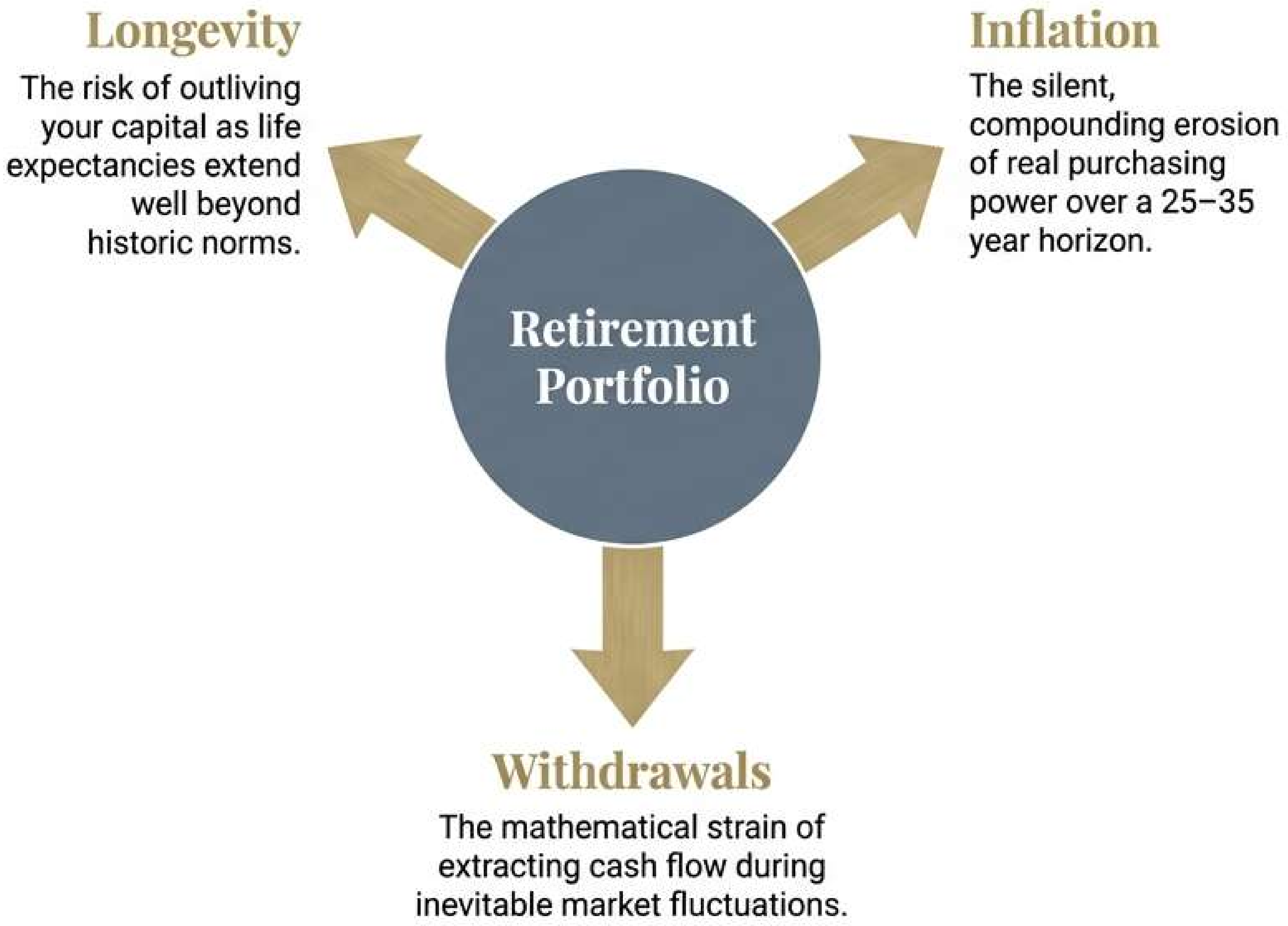
Retirement Option's

A definitive guide to sustainable wealth, mitigating hidden risks, and long-term asset allocation.

Prepared in partnership with MyPensionAdvisor.

Always understand your options and seek professional advice before making pension decisions. Guide is for information Only

"One of the biggest risks an investor faces is running out of money in retirement. To mitigate this, we must shift focus from daily market moves to the three silent forces of attrition."

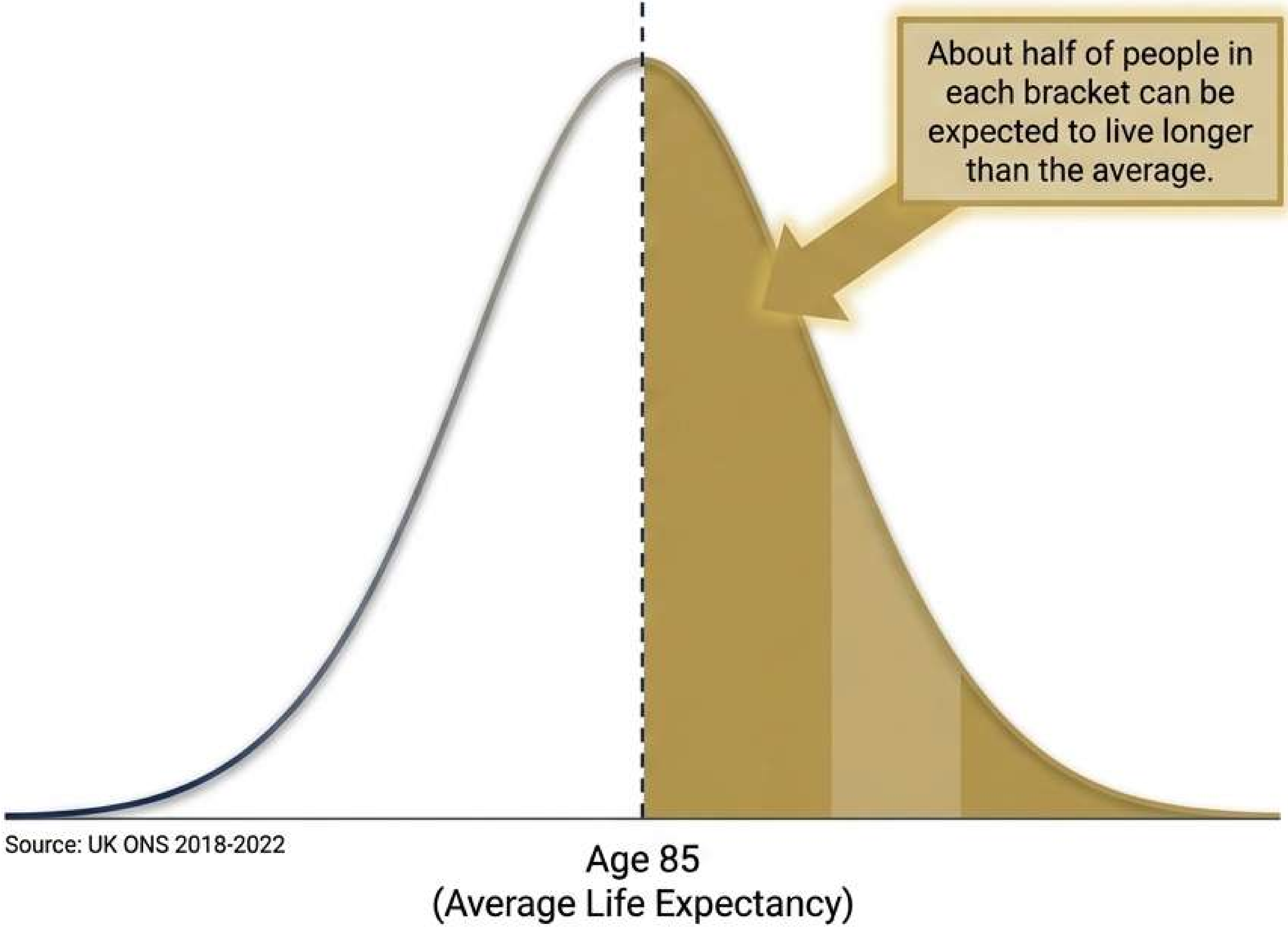


THE MYTH

If I retire at 65, planning my wealth to last until the average life expectancy of 85 is a safe approach.

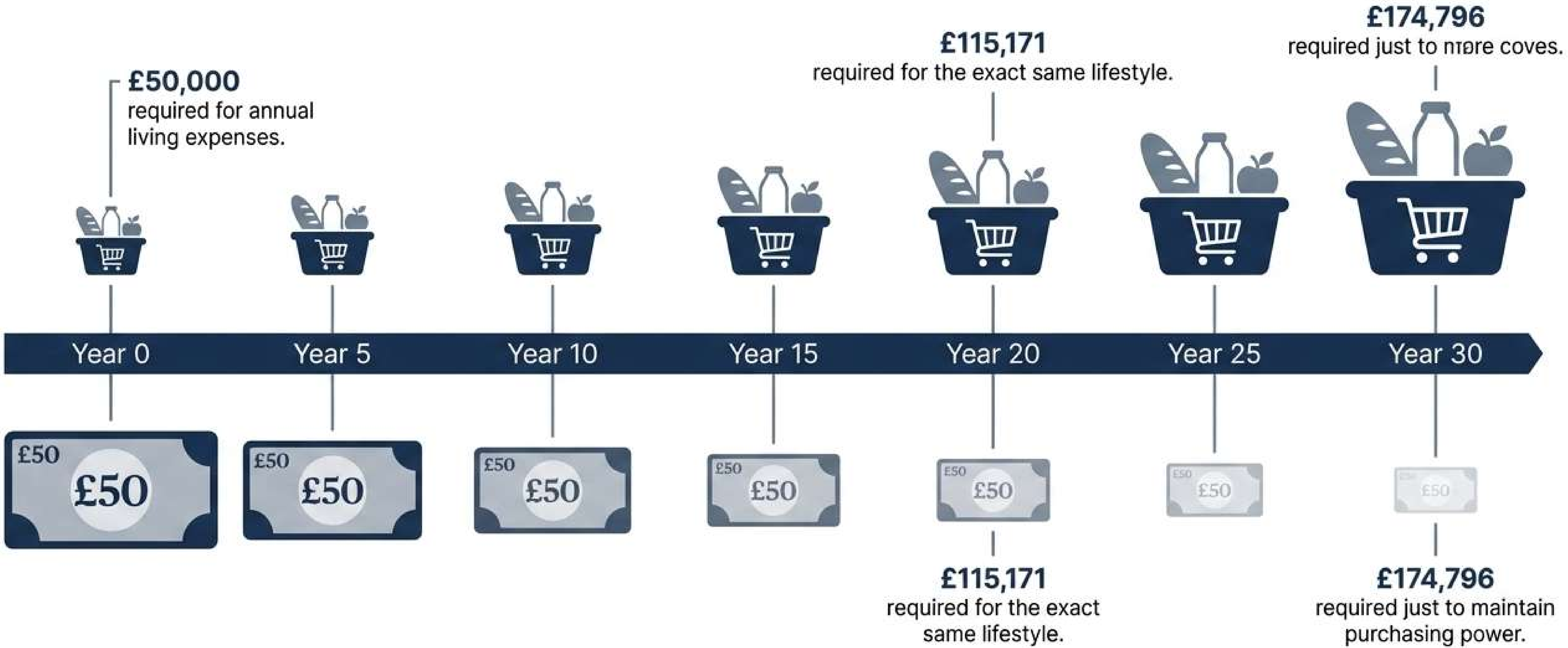
THE REALITY

Average life expectancy is simply the median. Planning for the average means planning to fail 50% of the time.



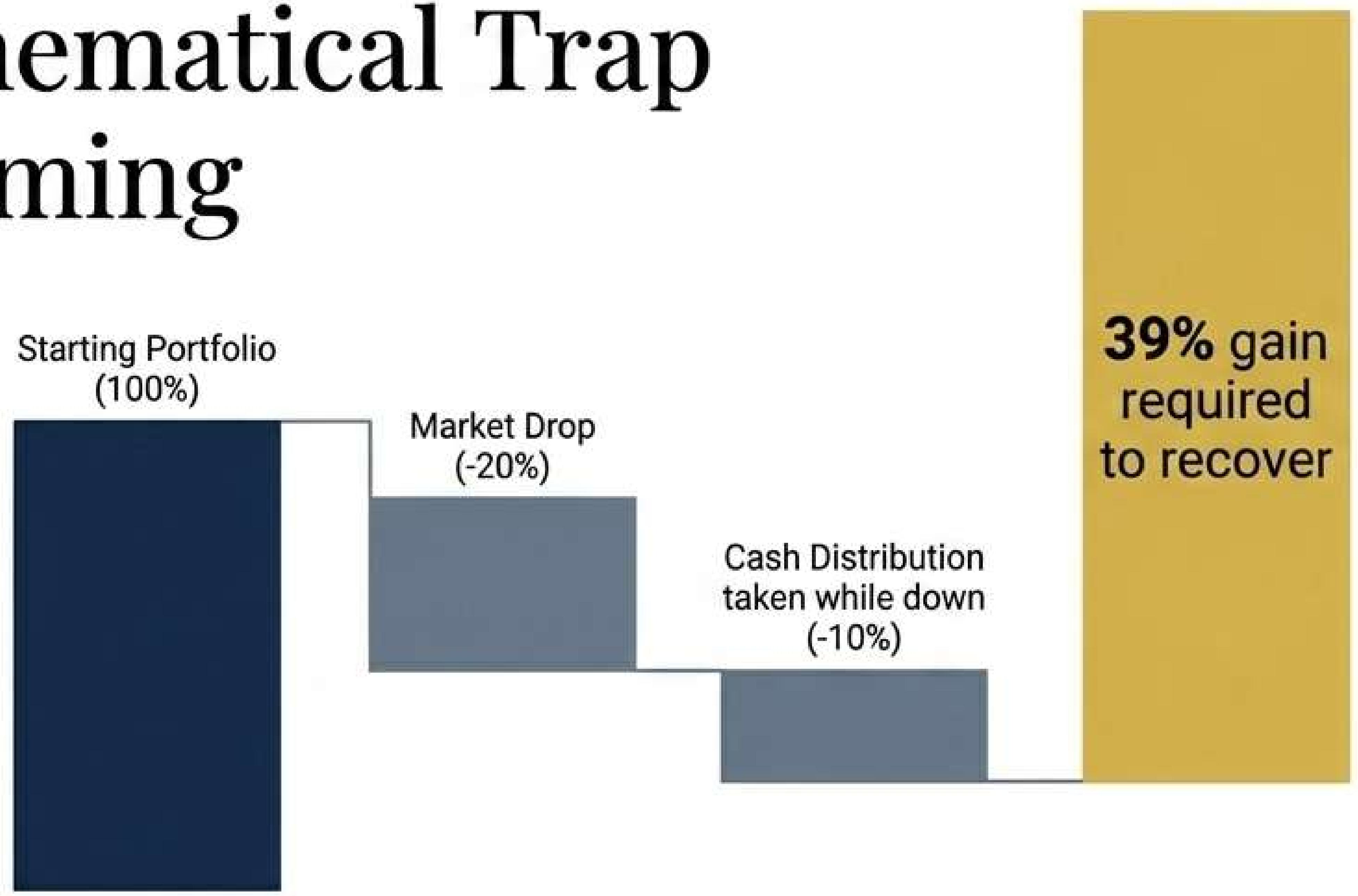
The Insidious Nature of Inflation

Based on a historical UK inflation average of 4% per annum (1925–2022). Cash under the mattress loses over **70% of its real value** in 30 years.



NotebookLM

The Mathematical Trap of Bad Timing



Taking distributions during a market downturn **substantially decreases the probability of maintaining your principal. Returns vary greatly year to year, punishing rigid withdrawal strategies.**

Required Ending Portfolio Value (Low to High)

Target Value

Objective: Hit a specific ending numerical value, typically to pass on to children or beneficiaries.

Portfolio Growth

Objective: Increase real purchasing power beyond inflation over the time horizon.

Depletion

Objective: Extract maximum safe lifestyle cash flow with no desire to leave underlying assets behind.

Maintenance

Objective: Maintain present purchasing power in real terms until the end of the horizon.

Required Purchasing Power (Diminishing to Growing)

Defining your growth objective creates the roadmap and provides the emotional discipline needed during market volatility.

THE MYTH

Since global equities have historically delivered over a 10% annualised return, it is perfectly safe to withdraw 10% of my portfolio every year without touching the principal.

THE REALITY

This is a fatal miscalculation.

Average returns do not exist in reality; they are a mathematical construct. Experiencing a -15% year followed by a +35% year averages to +10%, but drawing 10% cash out during the -15% year permanently destroys the capital base needed for the subsequent recovery.

Based on 30-year rolling periods starting in 1926.
All withdrawals adjusted for 3% annual inflation.

The Sustainable Withdrawal Heatmap

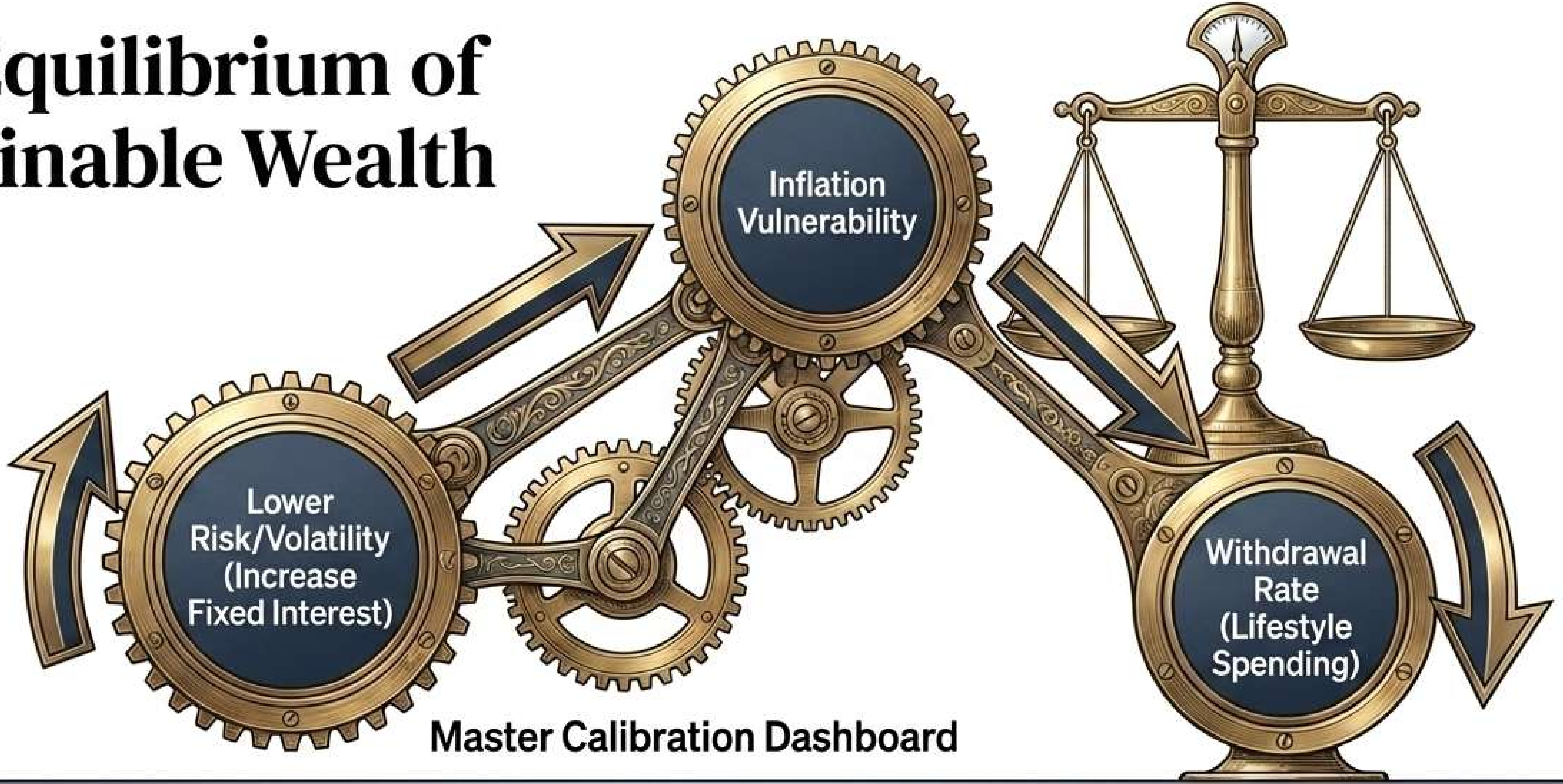
% Probability Assets Survived 30 Years (More Detailed Data)

Withdrawal Rate	Asset Allocation (Equity/Fixed Interest)				
	100/0	80/20	60/40	40/60	20/80
10%	22.4%	18.9%	13.4%	9.1%	4.2%
8%	43.1%	37.8%	31.2%	23.7%	15.3%
6%	79.9%	75.5%	68.2%	59.4%	47.6%
5%	94.0%	95.1%	93.8%	89.5%	81.3%
4%	99.5%	99.7%	99.6%	98.8%	96.7%
3%	100%	100%	100%	100%	100%

Extraction Key

- 8-10% Withdrawal rates present severe danger of portfolio failure across all asset allocations.
- 6% Withdrawal requires high equity exposure (>80%) for potential sustainability.
- 5% Withdrawal is the threshold of sustainability, provided fixed interest exposure does not exceed 40%.
- 3-4% Withdrawal provides near absolute certainty of asset survival over a three-decade horizon.

The Equilibrium of Sustainable Wealth

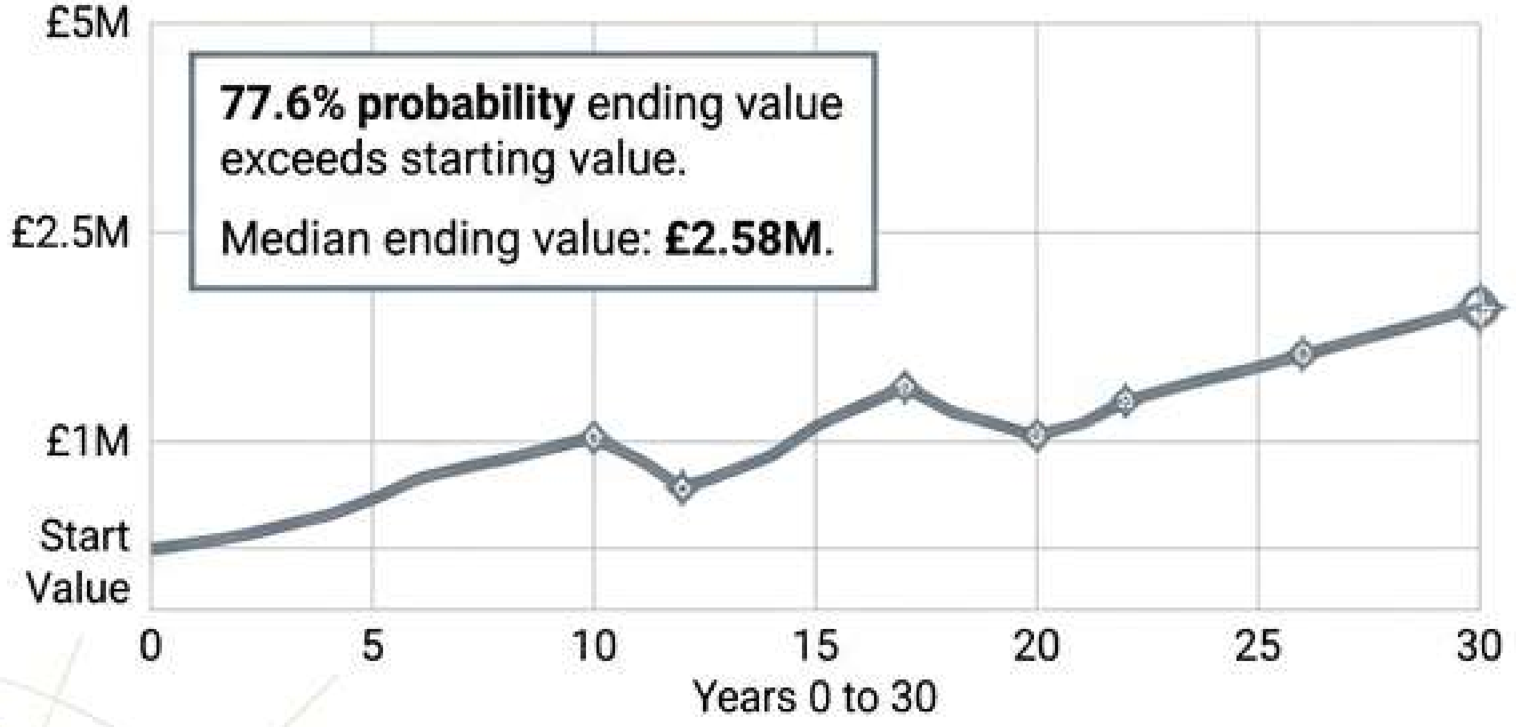


Core Insight: Retirement planning is not a "one-and-done" decision made at the point of retirement. Instead, it is a continuous, dynamic balancing act that requires ongoing calibration. The system is an interconnected equilibrium where no single lever can can be pulled in isolation; adjusting one variable permanently alters the required settings of the others. For example, pulling the "lower risk/volatility" lever to increase fixed interest exposure mathematically forces the "withdrawal rate" lever down, requiring a lifestyle spending reduction to ensure capital survival. This delicate balance also increases vulnerability to the "inflation" gear, as lower growth assets may struggle to preserve purchasing power over decades.

The Paradox of Playing it Safe

Comparing 30-Year Trajectories at a 5% Withdrawal Rate

Path A: 50% Equity / 50% Fixed Interest



Path B: 100% Equity

While fixed interest reduces short-term volatility, an over-allocation mathematically restricts the portfolio's ability to outpace inflation and fund three decades of withdrawals. Growth is a necessity, not a luxury.

Replacing Static Plans with Dynamic Management

The Blueprint for Professional Guidance

What Next?

Since 2015, My Pension Advisor has supported clients in building secure, sustainable retirement plans based on trust and transparency. Our mission is simple:

- Offer clear, actionable advice — no jargon.
- Tailor solutions to individual goals and timelines.
- Empower you to make informed decisions with confidence.

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"There is no one right answer—only the answer that's right for you. Determining your primary objective is the first step. We are here to help you build the roadmap."

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